## Debt to Assets Ratio

The debt to assets ratio is a more specific ratio. It determines the extent debt or borrowed funds are covered by assets and measures how much assets can depreciate in value and still meet the debt commitments. Debts are defined as borrowed funds and would include bank overdrafts. Assets exclude intangibles, such as goodwill and deferred assets. The ratio is calculated by dividing debt by total tangible assets:

$$\text{Debt to Assets ratio} = \frac{\text{Total debt}}{\text{Total tangible assets}}$$

***Illustration***

An extract of the financial statements of Pushpa Refrigerators Ltd. is detailed below:

| | *Rs. (lakh)* |
|---|---|
| Term Loan | 200 |
| 14% Debentures | 500 |
| Bank overdraft | 50 |
| | 750 |
| Total assets | 1200 |
| Goodwill | 100 |

The Debt to Assets ratio would be:

$$\frac{750}{1200 - 100} = 0.68$$

Even if assets were to reduce by as much as 32%, the company would still be able to meet its commitments.